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Jiangsu Zhongtian Technology Co. Ltd. | Asia Pacific

Preliminary 2Q26 slightly below expectations due to revenue recognition; strong 3Q26 outlook

Reaction to earnings

Unchanged Impact to our thesis	↓ Modest shortfall Financial results versus consensus	— Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- 2Q26 net profit of Rmb1.43-1.59bn, up 52-69% yoy, slightly below our estimate of Rmb1.5-2.0bn, owing to revenue recognition schedule.
- It is anticipated that 3Q26 net profit growth will accelerate rapidly, driven by strong optical fiber demand, higher pricing, and improving product mix.
- ZTT completed the delivery of a lower-priced order for China Mobile in 1H26. The new prices in 2H26 will increase substantially.
- The spot price of G657 fiber increased slightly MoM in June but remained flat MoM for G652.D fiber.
- Optical fiber remains a seller's market. ZTT has been selective in customer acceptance and continues to require prepayment for orders.

ZTT expects 1H26 net profit to grow 50-60% yoy, to Rmb2.35bn-2.51bn, implying 2Q26 net profit of Rmb1.43bn-1.59bn, up 52-69% yoy or 56-73% QoQ. The 2Q26 net profit is close to the low end of our estimate range of Rmb1.5-2.0bn. We think the main reason is the order delivery and revenue recognition schedule. According to ZTT, key business segments performed as follows in 2Q26:

- **Optical fiber:** Some exported specialty optical fiber products have not yet been recognized as revenue and therefore remain recorded as inventory.
- **Power transmission:** >15% yoy revenue and earnings growth in line.
- **Marine systems:** Moderate growth, given delivery of Sanshan Island 500kV AC and DC submarine cable with higher margin but lower revenue compared to Jiangsu projects being recognized in 2Q25. The two EU orders will be booked in 2H26 with a total order size >Rmb2bn.

Given the strong demand environment and full production utilization, the company has become more selective on customer allocation. The current sales strategy emphasizes customer selection and advance payment (prepayment) before delivery, helping improve cash flow and optimize order quality.

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Asia Summer School 2026

Jiangsu Zhongtian Technology Co. Ltd. (600522.SS, 600522.CG)

China Utilities | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb53.23
Up/downside to price target (%)	24
Shr price, close (Jul 14, 2026)	Rmb42.85
52-Week Range	Rmb68.10-13.77
Sh out, dil, curr (mn)	3,413
Mkt cap, curr (mn)	Rmb146,245
EV, curr (mn)	Rmb134,728
Avg daily trading value (mn)	Rmb4,389

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.85	1.88	2.43	3.01
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	0.92	2.14	3.18	3.21
Revenue, net (Rmb mn)	52,500	62,480	72,252	84,380
EBITDA (Rmb mn)	4,770	8,537	10,773	13,105
ModelWare net inc (Rmb mn)	2,902	6,421	8,306	10,282
P/E	21.3	22.8	17.6	14.2
P/BV	1.7	3.4	3.0	2.6
RNOA (%)	10.6	22.1	24.9	27.6
ROE (%)	8.3	17.4	19.6	21.1
EV/EBITDA	10.6	15.6	12.1	9.6
Div yld (%)	1.4	1.4	1.8	2.4
FCF yld ratio (%)**	2.7	2.7	4.1	5.2
Leverage (EOP) (%)	(40.8)	(42.5)	(45.2)	(47.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)

Base case, discounted cash flow model, which captures long-term cash flows for 2027-37. Key assumptions:

- WACC of 9.67% - CoE of 10.55% (beta of 1.2, risk-free rate of 3.15%, risk premium of 4.5%, China premium of 2.0%); after-tax CoD of 5.25%; target debt to capital ratio of 20.0%
- 2% terminal growth

Risks to Upside

- Revenue acceleration in optical I&C segment, amid ASP boost for optical fiber
- Higher offshore wind submarine cable penetration in overseas markets (especially Europe)
- Better-than-expected operating cost management

Risks to Downside

- Lower-than-expected optical I&C revenue growth
- Subpar order intake of submarine cable in overseas markets
- Subpar operating cost management

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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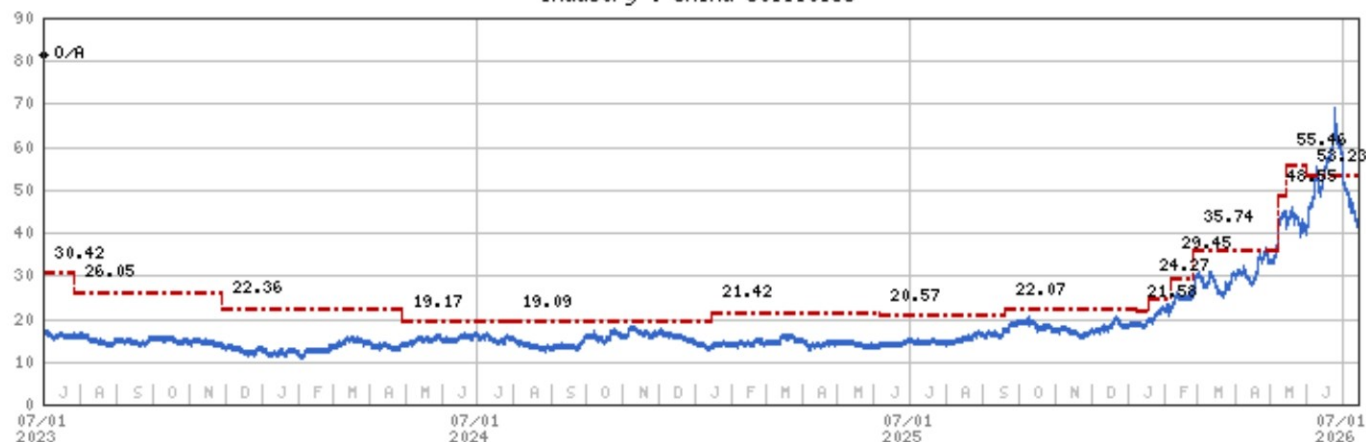
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Jiangsu Zhongtian Technology Co. Ltd. (600522.SS) - As of 07/14/26 GMT in CNY
Industry : China Utilities



Stock Rating History: 7/1/21 : 0/A

Price Target History: 3/26/21 : 16.07; 12/16/21 : 24.31; 8/17/22 : 35.38; 3/20/23 : 30.42; 7/27/23 : 26.05; 11/29/23 : 22.36; 4/29/24 : 19.17; 7/29/24 : 19.09; 1/15/25 : 21.42; 6/6/25 : 20.57; 9/19/25 : 22.07; 1/9/26 : 21.58; 1/19/26 : 24.27; 2/6/26 : 29.45; 2/25/26 : 35.74; 5/7/26 : 48.85; 5/14/26 : 55.46; 6/1/26 : 53.23

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Utilities

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Eva Hou		
CGN Power Co., Ltd (1816.HK)	E (03/21/2026)	HK\$2.72
CGN Power Co., Ltd (003816.SZ)	U (03/29/2021)	Rmb3.90
China Longyuan Power Group (0916.HK)	E (01/20/2026)	HK\$5.27
China Longyuan Power Group (001289.SZ)	E (08/06/2024)	Rmb15.75
China Resources Power (0836.HK)	E (03/21/2026)	HK\$17.83
China Yangtze Power Co. (600900.SS)	O (11/14/2023)	Rmb28.55
Dajin Heavy Industry (002487.SZ)	O (04/18/2026)	Rmb43.70
Goldwind (002202.SZ)	U (01/20/2026)	Rmb19.17
Goldwind (2208.HK)	E (08/17/2022)	HK\$9.53
Hangzhou First Applied Material Co. Ltd (603806.SS)	O (01/18/2023)	Rmb14.91
Henan Pinggao Electric (600312.SS)	O (01/18/2024)	Rmb17.33
Huaneng Power International Inc. (0902.HK)	E (06/30/2022)	HK\$5.66
Huaneng Power International Inc. (600011.SS)	U (04/07/2021)	Rmb6.91
JA Solar Technology Co Ltd (002459.SZ)	E (09/02/2025)	Rmb7.08
Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	O (10/12/2020)	Rmb42.85
LONGi Green Energy Technology Co Ltd (601012.SS)	U (09/02/2025)	Rmb11.73
NARI Technology (600406.SS)	O (11/01/2015)	Rmb21.99
Ningbo Orient Wires & Cables Co Ltd (603606.SS)	O (08/17/2022)	Rmb40.73
Riyue Heavy Industry Co., Ltd. (603218.SS)	O (02/11/2025)	Rmb9.46
Shanghai Electric (2727.HK)	U (03/26/2021)	HK\$3.21
Shanghai Electric (601727.SS)	U (03/26/2021)	Rmb6.59
Sieyuan Electric Co.Ltd. (002028.SZ)	O (07/01/2025)	Rmb162.00
Sinoma Science & Technology Co. Ltd. (002080.SZ)	O (09/23/2025)	Rmb72.35
Sungrow Power Supply Co. Ltd (300274.SZ)	O (06/09/2026)	Rmb108.29
Tongwei Co. Ltd. (600438.SS)	E (09/02/2025)	Rmb10.68
XJ Electric (000400.SZ)	E (03/21/2026)	Rmb19.85

Hannah Yang, CFA

Xinyi Solar Holdings Ltd (0968.HK)	O (07/30/2020)	HK\$1.97
Tom Li		
Anhui Yingliu Electromechanical Co Ltd (603308.SS)	O (04/08/2026)	Rmb53.56
China Gas Holdings (0384.HK)	E (07/10/2026)	HK\$5.51
China Resources Gas (1193.HK)	E (07/10/2026)	HK\$15.20
Huaming Power Equipment (002270.SZ)	O (04/08/2026)	Rmb17.90
Ningbo Sanxing Medical Electric Co. Ltd. (601567.SS)	O (04/08/2026)	Rmb13.49

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.